that, in turn, warrants a fundamental rethink about our growth model. This was probably coming anyway, given how much the current economic framework has hollowed out our manufacturing capacities. In the context of the free trade agreements, there was already an ongoing debate about the adequacy of our preparations to engage the global economy more intensively. What was evident was that many concerns stemming from the policies of our partners remain unaddressed. Competing against those with structural advantages has been difficult, as evidenced by the growing trade deficit. Going further down that very pathway without a course correction has obvious implications. There are direct livelihood and social stability consequences. It is paradoxical that those urging India to be more open are themselves very sensitive on this score. A revival strategy, therefore, needs to be chalked out with the utmost deliberation. Whatever the choices we make on compatibility or engagement, there are some facts we simply cannot ignore.

As India has discovered in the past, economic strategies have to be in consonance not only with its own national situation, but the global one as well. If we are significantly out of step with the world, as we were by 1991, then they are difficult to sustain. Three decades later, India's capabilities, competitiveness and trade are under stress, this time for very different reasons. The post-1991 belief that we could rely on the costing of others abroad to build our own businesses at home clearly has a high price. A lowest bidder syndrome and obsessive quest for profit margins has ended up eroding domestic capabilities. Even more, the efficiency of others, instead of spurring competitiveness, has actually led to putting off further reforms. Openness abroad ironically has led to stagnation at home, discouraging innovation and killing creativity. MSMEs have borne the brunt of the damage. While the pandemic may have brought out weaknesses pertaining to health security, it has also exposed this larger strategic complacency. Other domains struggle similarly with their own predicaments. Whether it is unfair advantages that competitors enjoy or the lack of a level playing field, we need to predicate policy on realities rather than rhetoric. And the access we give and the arrangements we enter into must take those into account.